The 45-day rule for micro & small suppliers: one-page cheat sheet

MSMED Act 2006 s.15, s.16, s.18 · Income-tax s.43B(h) (1961 Act) = s.37(2)(g) (2025 Act) · MSME ODR portal. Checked 9 Oct 2026.

1. Who is protected

A **micro or small** enterprise (not medium) with **Udyam registration** that predates the supply, selling goods or services to a buyer.

2. When the buyer must pay (s.15)

- If you agreed a credit period in writing: pay by that date, but the agreed period **cannot exceed 45 days** from the day the goods/services were accepted (or deemed accepted).
- If nothing was agreed: within **15 days** of acceptance.

3. What happens if they pay late (s.16)

The buyer owes **compound interest with monthly rests at three times the bank rate notified by the RBI**, from the day after payment was due. Look up the current Bank Rate on rbi.org.in; any figure you work out is an **estimate**. The MSE Facilitation Council decides the actual amount.

4. The tax angle for the buyer

Under s.43B(h) of the Income-tax Act 1961, now **s.37(2)(g) of the Income-tax Act 2025**, a buyer that pays a micro/small supplier beyond the s.15 limit can deduct the expense only in the year it **actually pays** (Finance Ministry reply in the Rajya Sabha, 21 Jul 2026). Many buyers' accounts teams care about this at year end.

5. Where disputes go (s.18)

Reference to the **Micro and Small Enterprises Facilitation Council (MSEFC)**. Since **15 Oct 2025**, new delayed-payment cases are filed on the **MSME ODR portal, odr.msme.gov.in** (log in with your Udyam number + OTP). MSME Samadhaan handles only older cases. The process: online negotiation, then conciliation by the Council, then arbitration if needed.

6. A polite chasing sequence

When	Step
5 days before due	Friendly reminder with invoice number, amount and due date
Day 1–3 overdue	Ask for the expected payment date; offer to fix any invoice query
~Day 15 overdue	Firm reminder that mentions your Udyam status, s.15/s.16 and the buyer's tax deduction
~Day 30+ overdue	Final notice: pay by a date 7 days out, or you will file on odr.msme.gov.in under s.18

7. Keep these ready (you will need them for ODR)

Udyam certificate · invoices + purchase/work order or agreement · proof of delivery/acceptance · copies of your reminders and replies · a ledger extract for the buyer.

> **Not legal or tax advice.** A free summary of public rules, checked 9 Oct 2026 against the MSME Ministry's ODR guidelines and published explainers (TaxGuru; Finance Ministry Rajya Sabha reply of 21 Jul 2026). Rules and portals can change. For a disputed or large claim, speak to a lawyer or CA. Medium enterprises are not covered by these delayed-payment provisions.

The MSME Payment Chaser Kit (tracker that works out the due date, days overdue and an interest estimate, 5 email letters with WhatsApp versions, ODR filing guide), ₹249: https://mininglife1.gumroad.com/l/msme-payment-chaser · https://mininglife1.gumroad.com · Free to share unchanged.